DIFFICULTY LEVEL TEST 9 — ANSWER SHEET

Industries (Development and Regulation) Act, 1951 — Detailed Solutions & Statutory References

Total Questions: 40 MCQs **Total Marks:** 80 Marks **Duration:** 30 Minutes **Subject:** Labour & Industrial Law

Question 1

MCQ (2 Marks)

Under Section 18FA, who prepares a complete list of assets and liabilities before taking over a closed industrial undertaking?

A. Authorised Person

B. Official Liquidator

C. Central Advisory Council

D. Chief Justice of High Court

✓ Correct Answer: B. Official Liquidator

Statutory Reference: Section 18FA of the Industries (Development and Regulation) Act, 1951

Explanation: Under Section 18FA, prior to taking over management of an undertaking in liquidation, the Official Liquidator is required to prepare a complete inventory of all assets and liabilities in accordance with prescribed procedure.

Question 2

MCQ (2 Marks)

Upon the expiry of the relief period granted under Section 18FB, what happens to the suspended contracts?

A. The contracts are permanently canceled

B. They are converted into new contracts

C. All suspended rights and liabilities are revived

D. The court declares those contracts void

✓ Correct Answer: C. All suspended rights and liabilities are revived

Statutory Reference: Section 18FB of the Industries (Development and Regulation) Act, 1951

Explanation: As soon as the relief order issued by the Central Government under Section 18FB expires, all previously suspended rights, privileges, obligations, or liabilities are revived as if no such order had been made.

Question 3

MCQ (2 Marks)

After the expiry of the initial 5-year period under Section 18A, the total extended period shall not exceed a maximum of how many years?

A. 7 years

B. 10 years

C. 12 years

D. 15 years

✓ Correct Answer: C. 12 years

Statutory Reference: Section 18A of the Industries (Development and Regulation) Act, 1951

Explanation: Under statutory provisions, after the initial 5-year takeover period ends, any extensions granted by the Central Government from time to time cannot exceed an aggregate maximum duration of 12 years.

Question 4

MCQ (2 Marks)

Which section mandates the immediate preparation of an inventory of assets, liabilities, and members upon taking over management of an undertaking?

A. Section 18FE

B. Section 18FF

C. Section 18FG

D. Section 18FH

✓ Correct Answer: C. Section 18FG

Statutory Reference: Section 18FG of the Industries (Development and Regulation) Act, 1951

Explanation: Section 18FG mandates that upon taking over management, the authorized person must immediately prepare a detailed list and inventory of the company's movable/immovable properties, cash, liabilities, members, and creditors.

Question 5

MCQ (2 Marks)

For how long does the initial relief or exemption order issued by the Central Government under Section 18FB remain in effect?

A. 6 months

B. 1 year

C. 2 years

D. 3 years

✓ Correct Answer: B. 1 year

Statutory Reference: Section 18FB of the Industries (Development and Regulation) Act, 1951

Explanation: An order granting relief or exemption to specified undertakings from certain laws or existing contracts under Section 18FB remains in force for an initial period of one year.

Question 6

MCQ (2 Marks)

Under Section 18B, the validity of orders issued by the Central Government is presumed under the provisions of which law?

A. Indian Contract Act, 1872

B. Indian Evidence Act, 1872

C. Indian Penal Code, 1860

D. Companies Act, 1956

✓ Correct Answer: B. Indian Evidence Act, 1872

Statutory Reference: Section 18B(4) of the Industries (Development and Regulation) Act, 1951

Explanation: Under Section 18B(4), an order signed and issued by the competent authority is presumed legally valid by courts under the Indian Evidence Act, 1872, and cannot be called into question arbitrarily.

Question 7

MCQ (2 Marks)

After completing an investigation under Section 15, which section empowers the Central Government to issue directions or orders to the undertaking?

A. Section 15A

B. Section 16

C. Section 17

D. Section 18

✓ Correct Answer: B. Section 16

Statutory Reference: Section 16 of the Industries (Development and Regulation) Act, 1951

Explanation: Section 16 empowers the Central Government, after completing an investigation, to issue binding directions to regulate production volume, establish quality standards, control prices, and direct distribution.

Question 8

MCQ (2 Marks)

Taking public interest into account, for what maximum period at a time can the Central Government extend the management takeover under Section 18A?

A. 1 year

B. 2 years

C. 3 years

D. 5 years

✓ Correct Answer: B. 2 years

Statutory Reference: Section 18A of the Industries (Development and Regulation) Act, 1951

Explanation: After the initial 5-year takeover period expires, if continued management remains necessary in the public interest, the Central Government may extend the takeover for a maximum of 2 years at a time.

Question 9

MCQ (2 Marks)

A person authorized by the Central Government to inspect under Section 19 is considered a 'public servant' under which section of the Indian Penal Code?

A. Section 11

B. Section 16

C. Section 21

D. Section 24

✓ Correct Answer: C. Section 21

Statutory Reference: Section 19 of IDRA, 1951 (read with Section 21 of the Indian Penal Code)

Explanation: Section 19 provides authorized inspecting officers with powers of entry and inspection, explicitly declaring them to be public servants within the meaning of Section 21 of the Indian Penal Code.

Question 10

MCQ (2 Marks)

From the date of issuance of a relief or exemption order under Section 18FB, what is the maximum overall aggregate limit fixed by law?

A. 5 years

B. 8 years

C. 10 years

D. 12 years

✓ Correct Answer: B. 8 years

Statutory Reference: Section 18FB of the Industries (Development and Regulation) Act, 1951

Explanation: Statutory relief granted under Section 18FB expires upon completion of an aggregate total period of 8 years from the date of the initial order or when management takeover ends, whichever is earlier.

Question 11

MCQ (2 Marks)

If a company is being wound up under court supervision, which of the following sections does NOT apply for direct takeover without prior investigation?

A. Section 15A

B. Section 16

C. Section 18A

D. Section 18AA

✓ Correct Answer: D. Section 18AA

Statutory Reference: Section 18AA of the Industries (Development and Regulation) Act, 1951

Explanation: Under Section 18AA, immediate takeover without prior investigation does not apply to companies undergoing winding-up under court supervision; such cases fall under Section 15 investigation procedures.

Question 12

MCQ (2 Marks)

What happens to the positions of old managers and directors after the Central Government takes over management?

A. Their positions are deemed to be vacated immediately

B. They can stay with Central Government consent

C. They become advisors to new directors

D. No legal effect on their positions

✓ Correct Answer: A. Their positions are deemed to be vacated immediately

Statutory Reference: Section 18B of the Industries (Development and Regulation) Act, 1951

Explanation: Upon issuance of a takeover order under Section 18B, all existing managers, directors, and managing agents of the company legally vacate their offices immediately by operation of law.

Question 13

MCQ (2 Marks)

Under which section does the Central Government decide to sell the undertaking as a running concern after receiving the authorized person's report?

A. Section 18FC

B. Section 18FD(1)

C. Section 18FD(2)

D. Section 18FF

✓ Correct Answer: B. Section 18FD(1)

Statutory Reference: Section 18FD(1) of the Industries (Development and Regulation) Act, 1951

Explanation: Section 18FD(1) provides that if the authorized person's report indicates the company cannot pay its liabilities, the Central Government may decide to sell the undertaking as a 'running concern' in the public interest.

Question 14

MCQ (2 Marks)

According to Section 18FA, the total management period extended with court approval shall not exceed how many years in total?

A. 7 years

B. 10 years

C. 12 years

D. 15 years

✓ Correct Answer: C. 12 years

Statutory Reference: Section 18FA of the Industries (Development and Regulation) Act, 1951

Explanation: For undertakings in winding-up managed under Section 18FA, the aggregate period of management extended from time to time with court approval cannot exceed 12 years under any circumstances.

Question 15

MCQ (2 Marks)

Which section provides for the revocation of a licence if effective steps are not taken to establish the undertaking within the specified time?

A. Section 10A

B. Section 11

C. Section 11B

D. Section 12

✓ Correct Answer: D. Section 12

Statutory Reference: Section 12 of the Industries (Development and Regulation) Act, 1951

Explanation: Section 12 empowers the Central Government to revoke a license if the licensee fails, without reasonable cause, to take effective steps to establish the industrial undertaking within the prescribed timeframe.

Question 16

MCQ (2 Marks)

While granting relief or exemption under Section 18FB, laws listed in which Schedule may be relaxed or exempted?

A. Schedule 1

B. Schedule 2

C. Schedule 3

D. Schedule 4

✓ Correct Answer: C. Schedule 3

Statutory Reference: Section 18FB (read with the Third Schedule) of IDRA, 1951

Explanation: Under Section 18FB, the Central Government may notify that all or any of the enactments specified in the Third Schedule shall not apply or shall apply with modifications to the notified undertaking.

Question 17

MCQ (2 Marks)

If contravention of the law continues after conviction, what additional daily fine can be imposed?

A. ₹100

B. ₹250

C. ₹500

D. ₹1,000

✓ Correct Answer: C. ₹500

Statutory Reference: Section 24 of the Industries (Development and Regulation) Act, 1951

Explanation: Section 24 provides that if a person continues contravention after conviction for the primary offense, they are punishable with an additional fine extending up to ₹500 for each day the failure continues.

Question 18

MCQ (2 Marks)

If no bid equal to or exceeding the reserve price is received after inviting public tenders, who may purchase the industrial undertaking?

A. Original owners of the company

B. Central Government itself

C. Concerned State Government

D. Development Council

✓ Correct Answer: B. Central Government itself

Statutory Reference: Section 18FE(7) of the Industries (Development and Regulation) Act, 1951

Explanation: Under Section 18FE(7), if no offer at or above the reserve price is received in public tenders, the Central Government may itself purchase the industrial undertaking at the reserve price free from encumbrances.

Question 19

MCQ (2 Marks)

For what maximum duration at a time can the Central Government extend the period of relief granted under Section 18FB?

A. 6 months

B. 1 year

C. 2 years

D. 3 years

✓ Correct Answer: B. 1 year

Statutory Reference: Section 18FB of the Industries (Development and Regulation) Act, 1951

Explanation: After the initial period of 1 year expires, the Central Government may extend the relief period from time to time by notification, but for not more than 1 year at a time.

Question 20

MCQ (2 Marks)

What provision is made regarding compensation to persons affected by cancellation of office or managerial contracts under Section 18B?

A. They receive 6 months' salary as compensation

B. No right to receive any compensation under the law

C. They can claim compensation in civil court

D. Offered equivalent position in a new company

✓ Correct Answer: B. No right to receive any compensation under the law

Statutory Reference: Section 18C of the Industries (Development and Regulation) Act, 1951

Explanation: Section 18C explicitly provides that no person whose office or contract of management is terminated under Section 18B shall be entitled to claim any compensation for loss of office or termination of contract.

Question 21

MCQ (2 Marks)

Whose licence is required for any person to establish a new industrial undertaking?

A. State Government

B. District Collector

C. Central Government

D. Development Council

✓ Correct Answer: C. Central Government

Statutory Reference: Section 11 of the Industries (Development and Regulation) Act, 1951

Explanation: Section 11 specifies that no person or authority other than the Central Government shall establish any new industrial undertaking except under and in accordance with a licence issued by the Central Government.

Question 22

MCQ (2 Marks)

Officers appointed to conduct investigations under this Act possess the powers of which court?

A. Criminal Court

B. Civil Court

C. Industrial Court

D. High Court

✓ Correct Answer: B. Civil Court

Statutory Reference: Section 18 of the Industries (Development and Regulation) Act, 1951

Explanation: Investigating officers under Section 18 are vested with powers of a Civil Court under the Code of Civil Procedure, 1908, including summoning witnesses, taking evidence, and compelling production of documents.

Question 23

MCQ (2 Marks)

Under which section is a licence required for producing a 'new article' in a registered or licensed undertaking?

A. Section 10A

B. Section 11

C. Section 11A

D. Section 12

✓ Correct Answer: C. Section 11A

Statutory Reference: Section 11A of the Industries (Development and Regulation) Act, 1951

Explanation: Section 11A prohibits the owner of an industrial undertaking registered or licensed under Section 10 or 11 from manufacturing any 'new article' unless license permission or amendment has been granted by the Central Government.

Question 24

MCQ (2 Marks)

Under Section 24, what penalty is prescribed for general contravention of licensing, registration, or government directions under this Act?

A. 3 months imprisonment or ₹1,000 fine

B. Imprisonment up to 6 months or fine up to ₹5,000 (or both)

C. 1 year imprisonment or ₹10,000 fine

D. Daily fine of ₹500 only

✓ Correct Answer: B. Imprisonment up to 6 months or fine up to ₹5,000 (or both)

Statutory Reference: Section 24 of the Industries (Development and Regulation) Act, 1951

Explanation: Section 24 penalizes contravention of key provisions or directions under the Act with imprisonment extending up to 6 months, fine extending up to ₹5,000, or both.

Question 25

MCQ (2 Marks)

Who has the authority to cancel or vary old managerial contracts if made in bad faith and detrimental to the undertaking?

A. Central Government only

B. Authorised person only

C. Competent Court on application by authorised person

D. Central Advisory Council

✓ Correct Answer: C. Competent Court on application by authorised person

Statutory Reference: Section 18E of the Industries (Development and Regulation) Act, 1951

Explanation: Under Section 18E, the authorized person may apply with Central Government approval to a competent court, which can cancel or vary contracts entered into in bad faith or detrimental to the undertaking.

Question 26

MCQ (2 Marks)

Under which section can the Central Government call for a report on the affairs and operation of a taken-over industrial undertaking?

A. Section 18FB

B. Section 18FC

C. Section 18FD

D. Section 18FE

✓ Correct Answer: B. Section 18FC

Statutory Reference: Section 18FC of the Industries (Development and Regulation) Act, 1951

Explanation: Section 18FC empowers the Central Government to call for a report from the authorized person at any time regarding the financial status and working of the industrial undertaking taken over.

Question 27

MCQ (2 Marks)

Which section imposes a general prohibition on any State Government or local authority from taking over control of industrial undertakings after the commencement of this Act?

A. Section 19

B. Section 20

C. Section 23

D. Section 24

✓ Correct Answer: B. Section 20

Statutory Reference: Section 20 of the Industries (Development and Regulation) Act, 1951

Explanation: Section 20 provides that after the commencement of the Act, no State Government or local authority shall take over management or control of any industrial undertaking except under Central Government authorization.

Question 28

MCQ (2 Marks)

Whose prior permission is required to frame a scheme of reconstruction for a company undergoing winding up under court supervision?

A. Central Advisory Council

B. Shareholders

C. High Court

D. Industrial Court

✓ Correct Answer: C. High Court

Statutory Reference: Section 18FD(2) of the Industries (Development and Regulation) Act, 1951

Explanation: Section 18FD(2) states that while the Central Government can frame a reconstruction scheme, if the company is already being wound up under High Court supervision, prior sanction of the High Court is mandatory.

Question 29

MCQ (2 Marks)

When fixing the 'reserve price' for the sale of a company, balance sheets of how many preceding continuous years are considered?

A. 2 years

B. 3 years

C. 5 years

D. 7 years

✓ Correct Answer: C. 5 years

Statutory Reference: Section 18FE(3) of the Industries (Development and Regulation) Act, 1951

Explanation: Under Section 18FE(3), the reserve price is determined based on financial statements, balance sheets, loss-profit accounts, machinery condition, and debts over the continuous 5 years prior to the takeover order.

Question 30

MCQ (2 Marks)

Whose decision is final on the question of whether an industrial undertaking has undergone substantial expansion?

A. High Court

B. Development Council

C. Central Government

D. Central Advisory Council

✓ Correct Answer: C. Central Government

Statutory Reference: Section 23 of the Industries (Development and Regulation) Act, 1951

Explanation: Section 23 provides that if any question arises whether there has been substantial expansion or whether an undertaking is producing a new article, the decision of the Central Government thereon shall be final.

Question 31

MCQ (2 Marks)

If former employees of a taken-over undertaking are re-employed, what contract is deemed to exist?

A. Old contract continues

B. New contract of service

C. Temporary daily contract

D. Trainee contract

✓ Correct Answer: B. New contract of service

Statutory Reference: Section 18FA of the Industries (Development and Regulation) Act, 1951

Explanation: Where former employees whose service was interrupted due to closure are re-employed by the authorized person, it is legally deemed to be a fresh contract of service.

Question 32

MCQ (2 Marks)

Criteria determined by the Central Government for small scale or ancillary industrial undertakings must be laid before Parliament for total how many days?

A. 15 days
B. 30 days
C. 45 days
D. 60 days

✓ Correct Answer: B. 30 days

Statutory Reference: Section 11B of the Industries (Development and Regulation) Act, 1951

Explanation: Section 11B requires draft notifications specifying criteria (investment in plant/machinery, employment, etc.) for small-scale/ancillary undertakings to be laid before both Houses of Parliament for a total of 30 days.

Question 33

MCQ (2 Marks)

Which section empowers the Central Government to declare special relief or exemptions for taken-over industrial undertakings?

A. Section 18AA
B. Section 18B
C. Section 18FA
D. Section 18FB

✓ Correct Answer: D. Section 18FB

Statutory Reference: Section 18FB of the Industries (Development and Regulation) Act, 1951

Explanation: Section 18FB empowers the Central Government to declare special financial and legal relief/exemptions to undertakings taken over under Section 18A, 18AA, or 18FA to prevent fall in production.

Question 34

MCQ (2 Marks)

Which section confers special power on the Central Government to take over management of an industrial undertaking directly without prior investigation?

A. Section 18A
B. Section 18AA
C. Section 18B
D. Section 18C

✓ Correct Answer: B. Section 18AA

Statutory Reference: Section 18AA of the Industries (Development and Regulation) Act, 1951

Explanation: Section 18AA empowers the Central Government to take over management immediately without prior investigation under emergency circumstances (such as severe financial mismanagement or closure for 3+ months).

Question 35

MCQ (2 Marks)

Under Section 18A, for what maximum initial period can the Central Government order the takeover of management of an industrial undertaking?

A. 3 years
B. 5 years
C. 7 years
D. 10 years

✓ Correct Answer: B. 5 years

Statutory Reference: Section 18A(2) of the Industries (Development and Regulation) Act, 1951

Explanation: Section 18A(2) provides that an order authorizing takeover of management of an industrial undertaking remains in force for an initial period not exceeding 5 years.

Question 36

MCQ (2 Marks)

For undertakings taken over prior to the 1971 Amendment Act, what time limit was granted to prepare the inventory of assets?

A. 3 months
B. 6 months
C. 9 months
D. 1 year

✓ **Correct Answer: B. 6 months**

Statutory Reference: Section 18FG of the Industries (Development and Regulation) Act, 1951

Explanation: Section 18FG specifies a special exception that for undertakings taken over prior to the 1971 Amendment, the asset inventory had to be completed within 6 months from the amendment's commencement.

Question 37

MCQ (2 Marks)

Whose approval is legally required to make a company reconstruction scheme final and binding on all parties?

A. Central Government only
B. Both Houses of Parliament
C. High Court
D. All Creditors

✓ **Correct Answer: C. High Court**

Statutory Reference: Section 18FF(4) of the Industries (Development and Regulation) Act, 1951

Explanation: Section 18FF(4) requires that a scheme of reconstruction prepared by the authorized person must be submitted to and sanctioned by the High Court to become final and binding.

Question 38

MCQ (2 Marks)

Under Section 18FA, for what maximum period at a time can management duration be extended with High Court sanction?

A. 1 year
B. 2 years
C. 3 years
D. 5 years

✓ **Correct Answer: B. 2 years**

Statutory Reference: Section 18FA of the Industries (Development and Regulation) Act, 1951

Explanation: Under Section 18FA, after the initial 5-year period expires, the High Court may grant extensions of management for a maximum of 2 years at a time upon application by the Central Government.

Question 39

MCQ (2 Marks)

Under which law are compensation and retirement benefits provided to workers who refuse to work under a reconstruction scheme?

A. Factories Act, 1948
B. Companies Act, 1956
C. Industrial Disputes Act, 1947
D. Indian Contract Act, 1872

✓ **Correct Answer: C. Industrial Disputes Act, 1947**

Statutory Reference: Section 18FF(2) of IDRA, 1951 (read with Industrial Disputes Act, 1947)

Explanation: Section 18FF(2) provides that workers who refuse in writing within 1 month to work under revised terms are entitled to retrenchment compensation under the Industrial Disputes Act, 1947.

Question 40

MCQ (2 Marks)

Under Section 18FA, what charge can the authorized person create on current assets of the company to raise loans for running the undertaking?

A. Fixed Charge

B. Floating Charge

C. Mortgage Charge

D. Personal Guarantee

✓ Correct Answer: B. Floating Charge

Statutory Reference: Section 18FA of the Industries (Development and Regulation) Act, 1951

Explanation: Section 18FA empowers the authorized person to raise loans for running the undertaking by creating a floating charge on the current assets of the company subject to prescribed conditions.